

BRASKEM S.A.

Latin America's largest petrochemical producer, mid-restructuring

BAK : NYSE | BRKM3 / BRKM5 / BRKM6 : B3 | XBRK : Latibex | Commodity Chemicals

1 EXECUTIVE SUMMARY

Market cap: US\$0.84-0.93bn (sources diverge; ADR US\$2.26, 5 Aug 2026)	Enterprise value: approx. US\$12.8bn
Revenue (LTM to 1Q26): US\$12.79bn (FY25 approx. US\$12.9bn; FY24 approx. US\$14.0bn)	Recurring EBITDA: FY25 US\$557m (-49% YoY); 1Q26 US\$192m (+76% QoQ)
Gross / EBIT margin (LTM): 4.8% / -7.0%	Guidance: None. Company withdrew to priorities: capital-structure reorganisation, liquidity preservation, cost
Share count: 797.2m total (451.7m ON, 345.1m PNA, 0.5m PNB); no meaningful dilutives outstanding	Book equity: negative, approx. -US\$3.1bn
Corporate gross debt: US\$9.4bn ex-Braskem Idesa; US\$12.0bn consolidated	Credit ratings: Fitch C; S&P D (June 2026 downgrades)
HQ: Sao Paulo / Camacari, Bahia, Brazil	Next catalyst: 2Q26 results, 13 Aug 2026; court stay expires mid-Aug 2026

Braskem sits at the first and second generation of the petrochemical chain. It buys naphtha, ethane, propane and sugarcane ethanol, cracks them into ethylene, propylene, butadiene and aromatics, and polymerises the bulk of that output in-house into polyethylene (PE), polypropylene (PP) and polyvinyl chloride (PVC). It is the only integrated cracker-to-resin producer of scale in Brazil, the largest polyolefin producer in the Americas, and the world's only industrial-scale producer of bio-based ethylene. Its customers are the roughly 12,000 plastics converters that feed Brazilian packaging, construction, agriculture and automotive supply chains; its principal supplier, its second-largest shareholder and one of its largest counterparties are all the same entity, Petrobras.

The core thesis is that Braskem is no longer an equity story about the petrochemical cycle; it is a claim on the residual after a restructuring that is being negotiated right now. The operating cycle has in fact inflected violently in the company's favour — the Middle East conflict and the closure of the Strait of Hormuz removed an estimated 6 million tonnes of polyethylene supply and drove Braskem's own Brazil PE spread up 101% quarter on quarter in 2Q26 — but the inflection arrived after the company had already drawn its revolving credit facility, skipped coupons, obtained a 60-day court stay and been downgraded to Fitch C and S&P D. With enterprise value near US\$12.8bn against a market capitalisation under US\$1bn, the equity is roughly 7% of the capital structure and behaves as an out-of-the-money option on whether the controlling shareholders can force a maturity extension without handing equity to bondholders. Every operational datapoint in this report should be read through that lens: improving EBITDA changes the recovery arithmetic, but it does not change who currently holds the negotiating leverage.

- What the equity is actually pricing: an approximately US\$0.9bn residual claim behind approximately US\$12bn of gross debt, R\$3.4bn of remaining Alagoas provisions and a Mexican subsidiary in its own default.
- What would change the thesis in Braskem's favour: sustained 2Q26-level spreads through 2027 plus a no-haircut, no-equitisation extrajudicial recovery — the company's own 'Projeto Catalyst' proposal.
- What would impair it: conversion of the process into a judicial reorganisation (recuperação judicial) where a debtor-in-possession facility converts into equity, a structure bondholders have already proposed and the controllers have already rejected.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What a steam cracker actually does

Imagine a bowl of cooked spaghetti. Crude-oil-derived naphtha is the spaghetti: long, floppy chains of carbon atoms. What the plastics industry wants is short, springy pieces that can be clipped together into a new, much longer chain of your own design. A steam cracker is a very hot, very fast oven that shatters the long strands into short ones. You blast the spaghetti with steam at about 850 degrees Celsius for less than half a second — long enough to snap the chains, short enough that they do not simply burn into soot — then chill it instantly so the pieces stay short. The most useful short piece is ethylene. A second plant then clips millions of ethylene units end to end into polyethylene, which is the plastic in a milk bottle or a shopping bag. Braskem's economics are the difference between what it pays for the spaghetti and what it gets for the finished chain. That difference is called the spread, and it is the single number that determines whether the company makes money.

At an engineering level, steam cracking is free-radical thermal pyrolysis. Feedstock is vaporised, diluted with steam to lower hydrocarbon partial pressure (which suppresses secondary condensation reactions and coke formation), and passed through alloy coils in a fired furnace to a coil outlet temperature of roughly 820-870 degrees Celsius with residence times typically under 0.5 seconds. Carbon-carbon bonds homolyse into radicals that propagate and terminate into lighter olefins. The effluent is quenched within milliseconds — in a transfer-line exchanger that recovers the heat as high-pressure steam — to freeze the product distribution before the olefins react further. Everything downstream is separation: compression, caustic and drying beds, then a cryogenic distillation train that fractionates the mixture into polymer-grade ethylene, propylene, butadiene, and a pyrolysis gasoline stream from which benzene, toluene and paraxylene are extracted.

The commercially decisive variable is feedstock, because feedstock determines yield structure. An ethane cracker is close to a single-product machine: it converts roughly 80% of its feed into ethylene, with very little propylene or aromatics. A naphtha cracker yields only about 30-35% ethylene but produces a broad co-product slate — propylene, butadiene, benzene, toluene, paraxylene and pyrolysis gasoline — that together can represent a third or more of revenue. This asymmetry is the whole of Braskem's structural problem and, occasionally, its structural opportunity. When oil is cheap relative to natural gas liquids (NGL), the naphtha cracker's co-products carry it. When oil is expensive relative to gas, as it has been for most of the last decade and acutely in 2026, the naphtha cracker sits at the top of the global cost curve and is the marginal producer that gets shut in first.

Braskem's answer has been feedstock flexibility rather than feedstock replacement. Management has stated that every naphtha-cracking furnace in the Brazilian fleet can be adjusted to run approximately 20% ethane plus some propane with minimal capital, that the Camacari complex in Bahia can currently operate on a 10% gas mix with a path to 20%, and that the Rio Grande do Sul site can also process natural gas. The dedicated gas-based site is Rio de Janeiro (Duque de Caxias), where the Transforma Rio project — announced February 2025, engineering authorised at R\$233m (approximately US\$40m), start-up guided to late 2027 or early 2028 — would add 220,000 tonnes per year of ethylene capacity and equivalent PE, supplied under a long-term ethane contract with Petrobras. This is the correct strategic direction. It is also, on current capacity, a partial hedge rather than a repositioning: Brazilian PE capacity alone is approximately 3.2 million tonnes per year.

Product line / asset	Scale and technology	What it competes against
Polyethylene, Brazil (HDPE, LDPE, LLDPE)	Approx. 3.2m tonnes/yr capacity; fed by naphtha crackers at Camacari (BA), Triunfo (RS), Mauá (SP) and the gas-based Duque de Caxias (RJ) site; combined Brazilian ethylene capacity above 3m tonnes/yr	Imported US Gulf Coast and Middle East ethane-based PE landed on import parity; historically the binding competitive constraint, temporarily relieved in 2026 by Middle East export restrictions
Polypropylene, Brazil	Integrated to cracker propylene and refinery propylene; PP was the only Brazilian resin with positive volume growth in 2Q26 (+3% QoQ domestic)	Imported PP, principally from Asia and the US; Asian PP spread rose 56% QoQ in 2Q26 on feedstock constraint

Product line / asset	Scale and technology	What it competes against
PVC and chlor-alkali, Brazil	Approx. 710,000 tonnes/yr PVC across Bahia and Alagoas; chlor-alkali production hibernated September 2025 and infrastructure redirected to ethylene dichloride (EDC) handling logistics	Unipar Carbocloro domestically; imported Asian PVC. PVC par spread +44% QoQ in 2Q26
Polypropylene, United States and Europe	PP plants in Texas, Pennsylvania and West Virginia (US) and Wesseling, Germany; 2Q26 utilisation down 3 percentage points on a 35-day US turnaround and a 32-day Wesseling turnaround	LyondellBasell (world's largest PP producer), Dow, ExxonMobil, INEOS. US PP spread +35% QoQ; European PP spread -19% QoQ — the two regions moved in opposite directions in 2Q26
Polyethylene, Mexico (Braskem Idesa, 75% owned)	1.05m tonnes/yr ethane cracker (Technip technology) plus 1.0m tonnes/yr of HDPE (INEOS Innovene S) and LDPE (Basell Lupotech T); Veracruz complex; TQPM ethane import terminal	US Gulf Coast PE exporters. Structurally advantaged feedstock, structurally short feedstock supply: Pemex delivered 11.8 thousand barrels/day in 2Q26 against a 30,000 barrels/day contractual minimum
Green PE ('I'm green' bio-based)	Approx. 200,000-260,000 tonnes/yr at Triunfo; sugarcane ethanol dehydrated to bio-ethylene, then polymerised in conventional PE plants; 2Q26 sales +49% QoQ but -19% YoY	Effectively unique at industrial scale. Competes on willingness-to-pay for certified bio-content, not on cost; addressable demand is a premium niche, not a volume business
Main chemicals (merchant)	Ethylene, propylene, butadiene, cumene, benzene, toluene, paraxylene, gasoline — the naphtha cracker co-product slate; exports +55% QoQ in 2Q26	Merchant aromatics and olefins markets. This slate is the reason Braskem is not simply a worse ethane cracker; main-chemicals spread rose 98% QoQ in 2Q26

ELI5 — Why this cycle is different from the last five

For most of the last decade, Braskem was losing a slow race. China kept building new plants that made plastic from coal and methanol, and the United States kept building plants that made it from cheap shale gas. Both could produce more cheaply than a Brazilian plant running on oil-derived naphtha, so imported plastic kept getting cheaper and Braskem's margin kept shrinking. In 2026 something abrupt happened: a Middle East conflict closed the Strait of Hormuz. That removed a large chunk of the world's cheap plastic from the market and pushed prices up sharply — far more than it pushed up Braskem's own oil-linked costs. So the gap between what Braskem sells for and what it pays widened dramatically in a single quarter. The catch is that this is a supply shock, not a demand recovery, and Braskem ran out of balance sheet before it arrived.

Quantifying the shift is straightforward because Braskem publishes its own spread benchmarks. Against the first quarter of 2026, the Brazil PE spread rose 101%, driven by a 58% increase in the US PE reference price against a 27% increase in the ARA (Amsterdam-Rotterdam-Antwerp) naphtha price, itself following a 30% rise in oil. The Asian PP spread rose 56%, the PVC par spread 44%, and the main-chemicals spread 98%, the latter on butadiene +95%, ethylene +48% and gasoline +49%. Against 2Q25 the Brazil PE spread was 103% higher and the main-chemicals spread 67% higher. The read-across from LyondellBasell is corroborative and instructive: its Olefins & Polyolefins Americas segment EBITDA rose to approximately US\$1.18bn in 2Q26 from US\$327m in 1Q26, with management attributing the move to the loss of roughly 6 million tonnes of Middle East PE capacity and warning that normalisation would be measured in quarters rather than months.

The demand-profile consequence for Braskem specifically is larger than for an ethane-based peer, and cuts both ways. Because a naphtha cracker's cost base is oil-linked, a shock that raises both the numerator (resin price) and the denominator (naphtha cost) compresses the percentage benefit relative to a gas-based competitor whose cost base did not move — US ethane prices actually fell 9% QoQ. But Braskem's operating leverage to spread is extreme at current utilisation: 1Q26 recurring EBITDA of US\$192m was generated on a Brazil cracker utilisation rate of 69% and a US/Europe PP utilisation rate of 79%. Against a fixed-cost base largely unchanged, a doubling of resin spread on stable volumes is worth several hundred million dollars of quarterly EBITDA. The offsetting mechanical drag is working capital: naphtha is bought and paid for on a payment cycle roughly four times shorter than customer receivables, so a 27% increase in feedstock price consumes cash immediately while the margin benefit is collected later. That timing mismatch is precisely

what accelerated the liquidity crisis in a quarter where spreads were improving.

3 SUPPLY CHAIN MAPPING

ELI5 — Where Braskem sits, and who has it by the throat

Braskem is the middle link in a three-link chain. Above it sits whoever supplies the raw hydrocarbon; below it sit thousands of small factories that melt its plastic pellets into bottles, pipes and bags. The awkward part is that in Brazil the link above Braskem is almost entirely Petrobras, the state oil company — which is also one of the two shareholders that now controls Braskem, and which has a large economic interest in how any debt restructuring turns out. When your biggest supplier, your co-owner and a party to your restructuring are the same organisation, ordinary supplier-concentration risk turns into something more complicated: your input price is not really an arm's-length market outcome, and it can be used as a lever.

Input / dependency	Supplier(s)	Single-source?	Risk note
Naphtha (Brazil crackers)	Petrobras under long-term supply contracts; balance imported, priced off ARA naphtha reference	Effectively yes domestically	The dominant COGS line and the dominant margin variable. Petrobras is simultaneously supplier, 47% voting shareholder and co-controller. Pricing formula changes are a governance question, not a procurement one
Ethane / propane (Brazil gas base)	Petrobras; long-term ethane contract contemplated for the Transforma Rio expansion	Yes	The entire gas-conversion strategy depends on a counterparty that also sits on the other side of the table in the restructuring. No credible alternative domestic ethane source exists
Ethane (Mexico, Braskem Idesa)	Pemex under a 20-year ethane supply agreement (ESA) priced to the US gas benchmark, plus US imports through the TQPM terminal	Yes for contract volumes	The most acute single-source failure in the group. Pemex supplied 11.8 thousand barrels/day in 2Q26 versus a renegotiated 30,000 barrels/day minimum; terminal imports fell to 14.7 from 17.8 thousand barrels/day. Utilisation fell 12 percentage points QoQ
Sugarcane ethanol (green PE)	Brazilian mills, merchant market	No	Genuinely diversified. Cost is set by the sugar-ethanol arbitrage and the fuel market, which is uncorrelated with naphtha — a rare natural hedge in the portfolio, but on only approximately 200-260kt of capacity
Propylene (US and Europe PP)	Merchant refinery-grade and polymer-grade propylene, third-party	No	Non-integrated. The US and Europe PP business is a spread-taker on merchant propylene: US propylene +34% QoQ in 2Q26 (margin-neutral, passed through), European propylene +57% (margin-negative, spread fell 19%)
Ethylene dichloride / chlorine (PVC)	Merchant EDC after chlor-alkali hibernation (Sept 2025); Unipar is the principal Brazilian chlor-alkali producer	Increasingly yes	Hibernating chlor-alkali converted an integrated position into a purchased-input position. EDC price rose 49% QoQ in 2Q26 — a cost line that did not exist in this form eighteen months ago
Rock salt (Alagoas)	Own mining, ceased	n/a	Historic. The 2018-19 ground subsidence in Maceio ended the operation and created the liability discussed in Section 6. Braskem no longer has a captive brine feedstock
Process technology licences	Technip (Mexico cracker), INEOS (Innovene S HDPE), LyondellBasell/Basell (Lupotech T LDPE)	Yes per unit	Standard for the industry and low operational risk, but it means the polymerisation technology is licensed from direct competitors. Braskem's proprietary technology edge is in bio-ethylene, not in polyolefin catalysis
Letters of credit / trade finance	Bank group; approximately US\$1.3bn of existing letters of credit contemplated for roll-over in the restructuring proposal plus US\$200m of new commitments	n/a	The most fragile part of the chain. A naphtha buyer without letters of credit cannot buy cargoes. This is why the company's own proposal prioritises a committed US\$1.5bn letter-of-credit facility over new cash

Geographically, the exposure is concentrated in ways that ordinarily offset and in 2026 did not. Brazilian operations are naphtha-based and therefore levered to Brent and to the ARA naphtha crack; the Mexican operation is ethane-based and levered to Henry Hub and US NGL supply; the US and European PP business is levered to regional merchant propylene. In 2026 the Middle East conflict raised the first, left the second broadly unaffected, and split the third — US PP spreads up 35%, European PP spreads down 19%. Input cost sensitivity is best summarised as follows: the group's Brazilian gross margin moves roughly one-for-one with the PE-minus-naphtha spread, and a US\$100 per tonne move in that spread on Brazilian PE volumes alone is worth a low-hundreds-of-millions of dollars of annualised EBITDA. Reported gross margin of 4.8% on LTM revenue of US\$12.79bn illustrates how little cushion sits between spread and loss.

4 COMPETITIVE LANDSCAPE

Company	HQ	Revenue	Position / share	Key differentiator	Weakness vs. Braskem
Braskem (BAK / BRKM5)	Sao Paulo, Brazil	US\$12.79bn LTM	Largest polyolefin producer in the Americas; approximately 40%+ of Brazilian resin demand	Only integrated cracker-to-resin chain in Brazil; three complexes; sole industrial-scale bio-ethylene producer	Reference company. Naphtha cost base, negative book equity, ratings at Fitch C / S&P D
LyondellBasell (LYB)	Houston, US / Rotterdam, NL	US\$30.2bn FY25 (US\$29.7bn LTM to 1Q26)	World's largest polypropylene producer; major PE and propylene oxide producer	US Gulf Coast ethane-advantaged crackers plus the industry's PP technology licensing franchise; positive free cash flow through the trough	Roughly 22x Braskem's market capitalisation and 2.4x its revenue; carried a FY25 net loss of US\$743m and cut its dividend, so it is not a healthy-versus-sick comparison — it is a solvent-versus-insolvent one
Dow (DOW)	Midland, Michigan, US	US\$40.0bn FY25	Largest global PE producer by capacity; broad materials-science portfolio	Scale, cost-advantaged US Gulf Coast ethylene, and a diversified downstream that does not depend on polyolefin spread alone	Also loss-making (FY25 net loss US\$2.62bn; 1Q26 net loss US\$445m) and idling European capacity. Dow's problem is earnings; Braskem's is solvency
Unipar Carbocloro (UNIP3 / UNIP6)	Sao Paulo, Brazil	US\$0.93bn LTM	Leading South American chlor-alkali and PVC-chain producer	Chlorine and caustic soda integration — exactly the position Braskem hibernated in September 2025; profitable, dividend-paying, modest leverage	One-fourteenth of Braskem's revenue and no olefins position; cannot supply the PE and PP market at all. But its US\$1.3bn market capitalisation exceeds Braskem's, which is the single most compact statement of the equity's distress
Middle East integrated producers (SABIC, Borouge, Iranian complexes)	Saudi Arabia, UAE, Iran	Not comparable on a like-for-like basis	Historically the lowest-cost marginal exporter into Latin America	Associated-gas ethane at administered prices; the structural reason Brazilian import parity was depressed 2019-2025	Currently the source of Braskem's windfall rather than its pressure: an estimated 6m tonnes of PE capacity was removed from the market by the conflict. This is a reversible advantage, not a won battle
Chinese CTO / MTO and new naphtha capacity	China	Not separately disclosed	The dominant source of 2019-2025 global overcapacity	Coal-to-olefins (CTO) and methanol-to-olefins (MTO) routes plus state-supported capacity additions insensitive to short-run return on capital	Does not export heavily into Brazil directly, but sets the global marginal price that determines Brazilian import parity. The medium-term bear case is that this capacity, not Middle East supply, resets the curve

The moat is real but narrow, and it is geographic rather than technological. Braskem owns the only integrated cracker-to-polymer chain in Brazil across three complexes, which gives it three things a competitor cannot easily replicate: the freight and duty wedge that protects domestic resin pricing at import parity, the merchant co-product slate (benzene, butadiene, paraxylene, gasoline) that has no domestic

alternative supplier, and a qualified customer base of thousands of converters whose extruders and moulds are specified around Braskem grades. Switching costs at the converter level are modest for commodity grades and meaningful for specialty and metallocene grades. Layered on top is genuine process know-how in ethanol dehydration to bio-ethylene, where Braskem has roughly a decade of industrial-scale operating experience nobody else has.

The most credible threat to that moat is not a competitor's technology; it is Braskem's own capital structure interacting with import substitution. The mechanism is specific. Domestic customers responded to restructuring headlines by increasing imports — Braskem's own 2Q26 production and sales report attributes the 6% sequential decline in Brazilian PE volumes and the 8% year-on-year decline in total Brazilian resin sales directly to higher import volumes. A converter that qualifies an alternative supplier during a supply-continuity scare does not automatically re-qualify Braskem when the scare passes. If a restructuring drags into 2027 while US Gulf Coast producers such as LyondellBasell and Dow hold ethane-advantaged capacity looking for a home, the erosion of the 40%-plus domestic share becomes permanent rather than cyclical. The secondary threat is Unipar in the chlor-vinyl chain, where Braskem's September 2025 chlor-alkali hibernation voluntarily surrendered integration and converted a competitor into a supplier.

5 MANAGEMENT & GOVERNANCE

ELI5 — Who is actually in charge

The people running Braskem today were installed in June 2026 and are not petrochemical operators. The chief executive and the chief financial officer both come from IG4 Capital, a private equity firm that specialises in fixing broken balance sheets, and the CFO's main credential is having run one of Latin America's largest debt restructurings at the telecoms group Oi. The chair of the board is the chief executive of Petrobras. Read that combination literally: the shareholders have staffed the company for a negotiation, not for a turnaround of the plants. The plants are Petrobras's responsibility under the new agreement; the money is IG4's.

The ownership change completed in June 2026 after a multi-year process. Novonor — formerly Odebrecht, whose Braskem shares had been pledged as collateral for approximately R\$20bn of bank debt since the Lava Jato scandal — sold its controlling block to Shine I, a private equity fund managed by Vortex Capital and advised by IG4 Capital. CADE, the Brazilian antitrust authority, cleared the transaction without restrictions. Shine I holds approximately 50.1% of voting capital and approximately 34.3% of total capital; Petrobras retains 47% of voting capital and approximately 36.1% of total capital; Novonor retains approximately 4% in non-voting shares. A revised shareholders' agreement establishes parity board representation and consensus-required deliberation, with an explicit functional split: IG4 runs corporate strategy and finance, Petrobras oversees operations. The board elected at the 8 June 2026 extraordinary general meeting serves until the 2028 annual meeting.

Person	Role	Tenure	Background and relevance to the thesis
Hélcio Tokeshi	Chief Executive Officer	Since 8 June 2026	Managing Director at IG4 Capital. CEO of logistics group CLI (Corredor Logística e Infraestrutura) January 2021 to February 2026; Secretary of Finance of the State of Sao Paulo 2016-2018; board roles at Iguá Saneamento and Companhia Paulista de Parcerias. Infrastructure and public finance, not chemicals
Carlos Brandão	Chief Financial Officer	Since June 2026	IG4 partner; former CFO of telecoms group Oi, where he led one of Latin America's largest debt restructurings. The single most informative appointment in the group: it signals the shareholders expect a formal process, not a refinancing
Magda Chambriard	Chair of the Board	Since June 2026	Chief Executive of Petrobras. Places the state oil company's CEO at the head of the board of its own customer, its own equity affiliate and a counterparty in a restructuring where Petrobras is an indirect creditor via its shareholding

Person	Role	Tenure	Background and relevance to the thesis
Departed June 2026	Prior executive team	n/a	CEO Roberto Prisco Ramos, CFO Felipe Montoro Jens and directors Geraldo Vilça Netto and Stefan Lepecki all exited. Ramos had himself replaced Roberto Bischoff in late 2024. Three CEOs in under two years

On guidance accuracy there is little to assess and that itself is the finding. Braskem does not publish quantitative EBITDA guidance in the manner of a US-listed industrial; it publishes annual priorities and spread commentary sourced to external consultancies. The prior management's most testable forward statement — the 1Q26 call's expectation, attributed to external consultancies, of material spread improvement in 2Q26 with normalisation from 3Q26 — was directionally correct on 2Q26 and is about to be tested on 3Q26. What the prior team did not communicate adequately was liquidity: the October 2025 full draw of the US\$1bn revolving credit facility was disclosed but its implication — that the company had exhausted committed undrawn capacity roughly eight months before requesting court protection — was not framed as such.

Capital allocation history is the harder indictment, and it predates the current team. Three decisions dominate. First, the Braskem Idesa joint venture in Mexico, formed in 2010 on a 20-year Pemex ethane supply agreement that Pemex has persistently failed to honour: contracted volumes were renegotiated down to 30,000 barrels/day and actual 2Q26 supply was 11.8 thousand barrels/day, with utilisation falling from 88% in 2017 to 57% in the nine months to September 2025. The remedy — building the TQPM import terminal — required Braskem to provide an Equity Support Agreement guaranteeing 50% of TQPM's outstanding financing as of March 2026. The subsidiary has now defaulted on interest on both its US\$900m 7.45% notes due 2029 and its US\$1.2bn 6.99% notes due 2032 (payments missed 18 November 2025 and 20 February 2026) and is negotiating a debtor-in-possession facility of approximately US\$250m ahead of a probable Chapter 11 filing. Second, the Alagoas rock-salt mining operation, which produced R\$18.1bn of cumulative provisions. Third, the retention of a naphtha-heavy asset base through the entire period in which the global cost curve reorganised around gas.

Governance concerns are material and should be priced. Braskem has a three-class share structure — common (BRKM3), class A preferred (BRKM5) and class B preferred (BRKM6) — in which the 451.7m voting common shares are essentially entirely held by the controlling block while the free float sits in non-voting preferred shares and the NYSE-listed American Depositary Shares that represent them. Public minority holders therefore have close to no voice in a restructuring that will determine whether their claim survives. Related-party exposure to Petrobras is pervasive: supplier of naphtha and ethane, 47% voting shareholder, co-controller with operational oversight, board chair, and an entity whose own strategic agenda is aligned with the Brazilian government's industrial policy rather than with minority-shareholder returns. Reported insider ownership of approximately 0.13% and institutional ownership of approximately 7.5% are consistent with a register in which control is concentrated off-market and the public float is small and passive. The one clear alignment positive is that the controlling shareholders' rejection of both bondholder proposals — a DIP facility convertible into equity that would dilute them below 10%, and a maturity extension secured on all company assets — places them, for now, on the same side as minority equity holders. That alignment holds only while the controllers can afford to say no.

Assessment: the current team is competent for the task it was hired to do, which is to negotiate. It is unproven on operations, and its most experienced member is a restructuring CFO rather than a chemicals executive. Alignment with minority equity is incidental rather than structural — it derives from the controllers' own dilution aversion. Credibility is currently constrained by the fact that management has been in post for two months and inherited every material problem it is being asked to solve.

6 FINANCIAL TRAJECTORY

Period	Net revenue	Recurring EBITDA	EBITDA margin	Leverage / net debt	Note
FY2024	approx. US\$14.0bn (R\$77.4bn)	approx. US\$1,093m (est., implied)	approx. 7.8% (est.)	n/d	Base year against which 2025 fell 49%
1Q25	n/d	approx. US\$224m (est., implied from 2Q25 -67%)	n/d	n/d	Peak quarter of the 2025 run
2Q25	n/d	US\$74m	n/d	n/d	-67% QoQ on falling PE and PVC spreads plus high-cost inventory carried in
3Q25	n/d	US\$150m (R\$818m)	n/d	Corporate gross debt approx. US\$8.4bn; cash US\$1.3bn ex-Idesa	US\$1bn revolving credit facility drawn in full in October 2025
4Q25	US\$3.04bn (R\$16.1bn)	US\$109m (R\$589m)	approx. 4%	Adj. net debt US\$7.5bn; leverage approx. 14.7x	Net loss attributable R\$10.28bn on impairments, Alagoas provisions and FX — not operating collapse
FY2025	approx. US\$12.9bn (est.)	US\$557m (-49% YoY)	approx. 4.3% (est.)	Adj. net debt US\$7.5bn ex-Idesa; cost of debt FX + 6.2%	Operating cash consumption approx. US\$246m for the year
1Q26	US\$2.95-3.15bn (sources conflict)	US\$192m (R\$1,006m)	6.5-7%	Adj. net debt US\$8.48bn; leverage 16.81x; corporate gross debt US\$9.4bn; consolidated US\$12.05bn	Cash US\$1.16bn (includes the drawn US\$1bn RCF). Operating cash consumption R\$3.2bn; approx. R\$5.0bn including Alagoas. Net income attributable +US\$275m on FX and tax effects
2Q26	Reports 13 Aug 2026	Reports 13 Aug 2026	—	—	Operationally pre-released: Brazil cracker utilisation +1pp QoQ, Brazilian resin sales -2% QoQ / -8% YoY, Mexico PE utilisation -12pp. Spreads: PE +101%, PP Asia +56%, PVC +44%, main chemicals +98%

There is no formal financial guidance. Management's stated 2026 priorities are, in order: reorganisation of the capital structure, liquidity preservation, competitiveness initiatives, and expansion of the sustainable portfolio. The only medium-term operating targets that remain live are the Transforma Rio expansion (+220kt/yr ethylene and equivalent PE, start-up late 2027 to early 2028, funded from REIQ tax-regime resources) and the Transformation Programme, which prior management credited with approximately US\$500m of EBITDA and US\$600m of cash contribution. Both should be treated as contingent on the restructuring outcome, since capital expenditure is the first line a company in a liquidity-preservation posture cuts — planned 2026 Braskem Idesa investment has already been reduced to R\$234m (approximately US\$42m).

ELI5 — Reading the balance sheet in one paragraph

Think of the company as a house worth roughly US\$13bn with a US\$12bn mortgage on it. The owners' equity is the thin slice left over, currently valued by the market at under US\$1bn. Now add three complications. The house is losing money on a cash basis, so the slice is shrinking. There is a separate garage (the Mexican subsidiary) with its own mortgage that has already stopped paying. And there is an outstanding repair bill from a collapsed mine that has already cost R\$18bn and is not finished. The lenders have asked a court to be let in; the court has instead told everyone to sit down and negotiate, with a deadline in mid-August.

- Book equity is negative at approximately -US\$3.1bn, with book value per share of approximately -US\$3.78. Any conventional equity multiple is therefore undefined, which is why price-to-book, price-to-earnings and EV/EBITDA all return not-meaningful on data-provider screens.

- Consolidated gross debt is approximately US\$12.0bn (US\$9.4bn at the corporate level excluding Braskem Idesa). Average corporate debt term is approximately 7.4 years with approximately 61% maturing from 2030 onward — the problem is coupon and covenant, not a near-term maturity wall.
- Eight international bonds total approximately US\$7bn, seven unsecured plus one hybrid instrument, maturing between January 2028 and January 2050, with the hybrid first callable in January 2081. Approximately US\$150m of international coupons fell due in July 2026, plus approximately US\$300m of letter-of-credit maturities and approximately US\$90m of domestic debentures in the same month.
- The US\$1bn revolving credit facility was fully drawn in October 2025 and matures December 2026 — inside the likely restructuring window.
- Alagoas: cumulative provisions of R\$18.1bn, of which approximately R\$14.4bn already disbursed and R\$1.2bn reclassified to other obligations, with an R\$874m present-value-adjustment realisation. Remaining provision balance approximately R\$3.4bn at March 2026, down from approximately R\$3.5bn at December 2025. Approximately 99.9% of affected residents have been relocated or compensated; eleven pressurised cavities remain in the planning phase for closure.
- Ratings were cut following the June 2026 court filing: Fitch to C, Standard & Poor's to D. Prior to the filing the company sat at Fitch CC and S&P CCC- with negative outlook.
- Company-prepared status-quo projections disclosed to creditors show free cash turning negative in December 2026 with an approximately US\$821m deficit, widening to approximately US\$1.98bn by end-2027, against approximately US\$3.68bn of financial commitments falling due between July 2026 and December 2027.
- No dividend. Share count has been essentially static (+0.01% year on year); the restructuring proposals on the table are the only credible source of dilution.

7

CATALYSTS & RISKS

Catalyst	Timing	Impact	Probability
2Q26 results	13 Aug 2026 (3 days)	First hard read on whether the 101% PE spread expansion converted into EBITDA, and — more important — the 30 June cash balance. BTG Pactual flagged a minimum liquidity threshold of US\$800m-1.2bn against 1Q26 cash of US\$1.1bn	High
Expiry of the 60-day court stay	approx. 25 Aug 2026 (15 days)	Granted 26 June. On expiry the company must either have creditor support to file an extrajudicial recovery (recuperacao extrajudicial), obtain an extension, or face resumed enforcement. As of 30 July it had not secured the roughly one-third creditor support needed to file	High
Extrajudicial recovery filing ('Projeto Catalyst')	3Q26	Company's preferred outcome: five-year maturity extension, 100% payment-in-kind (PIK) interest option July 2026 to December 2028, 200 basis point coupon reduction, a committed US\$1.5bn letter-of-credit facility, no principal haircut and no equitisation	Medium
Escalation to judicial reorganisation (recuperacao judicial)	3Q-4Q26	Imposed by the court on an entire homologated creditor class rather than requiring prior consent. Faster to impose, far worse for equity: opens the door to the DIP-to-equity structure bondholders have proposed	Medium
Braskem Idesa Chapter 11 filing	2H26	Approximately US\$250m debtor-in-possession facility reportedly near agreement. Would formalise loss of control over the Mexican subsidiary and crystallise the TQPM Equity Support Agreement exposure. Braskem has stated no cross-default to parent debt is triggered	High
Persistence of Middle East supply disruption	Continuous	LyondellBasell management guided that normalisation would take beyond 2026 and be measured in quarters. Every additional quarter of 2Q26-level spreads materially improves the recovery arithmetic for all claimants including equity	Medium

Catalyst	Timing	Impact	Probability
REIQ tax-regime expiry	31 Dec 2026	Complementary Law 228 expanded the REIQ (Regime Especial da Industria Quimica) benefit, worth approximately US\$32m of COGS relief in 1Q26 alone. Scheduled to lapse at end-2026; renewal is a political decision	Medium
Mandatory tender offer obligation	Post-restructuring	The Shine I acquisition framework contemplated a mandatory tender offer for remaining common and preferred shares. Terms and timing are unresolved and subordinate to the restructuring	Low
Transforma Rio start-up	Late 2027 / early 2028	+220kt/yr ethylene and equivalent PE on a gas feedstock under long-term Petrobras contract. Structurally the right project; entirely contingent on capital availability	Low

Risk 1 — the bondholder ad hoc group is organised, sophisticated and has already said no. The committee negotiating against Braskem includes Capital Group and AllianceBernstein alongside Elliott Investment Management and Strategic Value Partners, with its own steering committee. Three rounds of proposals ended without agreement. The creditors put forward two structures: a new debtor-in-possession facility that, if unpaid, converts into equity and reduces the controlling shareholders below 10% of the company; and a maturity extension at the existing interest rate with all company assets pledged as collateral. Braskem rejected both, and reporting indicates the controllers will not accept any restructuring that transfers control. For public minority shareholders the risk is that this standoff resolves the way such standoffs usually resolve when the debtor runs out of cash first — through the creditors' structure, not the debtor's, with equity taking the residual. Note also that this is not a homogeneous creditor bloc: reporting indicates holders of longer-dated paper object to the equal-treatment-across-maturities feature of the company's own proposal, which makes a consensual outcome harder, not easier.

Risk 2 — Braskem Idesa is a separate default with a live parent guarantee. The Mexican joint venture has missed interest on US\$900m of 7.45% senior secured notes due 2029 and US\$1.2bn of 6.99% notes due 2032. Its restructuring proposal offered bondholders either an exchange into extended-maturity paper or a cash buyout at 55 cents on the dollar, backed by up to US\$700m of new liquidity; creditors rejected it. The root cause is not cyclical: Pemex has never delivered contracted ethane. Supply fell from 57,000 barrels/day eight years ago to 18,000 barrels/day in the nine months to September 2025 and 11.8 thousand barrels/day in 2Q26, against a renegotiated 30,000 barrels/day minimum. Utilisation has fallen from 88% in 2017 to the high-50s. The specific parent exposure is the Equity Support Agreement guaranteeing 50% of the TQPM ethane import terminal's outstanding financing as of March 2026 — an obligation that survives whatever happens to the equity of the subsidiary itself.

Risk 3 — the spread windfall is a supply shock, not a demand recovery, and it can reverse faster than it arrived. The 2Q26 improvement is attributable in Braskem's own words to feedstock unavailability in Middle-East-dependent regions and restrictions on Middle East PE exports following the closure of the Strait of Hormuz. If those flows resume, roughly 6 million tonnes of low-cost PE capacity returns to a market that was already oversupplied by Chinese coal-to-olefins, methanol-to-olefins and new naphtha capacity, and Brazilian import parity resets downward. Braskem would then be left with the cost side of the shock — elevated naphtha and an inflated working-capital position — without the revenue side. Because the company's restructuring proposal is built on projections that assume operational improvement over a five-year grace period, a rapid spread reversal invalidates the premise of the plan it is currently asking creditors to accept.

Risk 4 — the naphtha working-capital mechanism actively converts good news into cash burn. BTG Pactual identified this precisely: Braskem's supplier payment run is approximately four times shorter than its customer receivables cycle. A 27% quarter-on-quarter rise in ARA naphtha therefore requires cash out well before the corresponding margin is collected. This is why 1Q26 could show a 76% sequential EBITDA improvement alongside R\$3.2bn of operating cash consumption. Any 2Q26 result that shows strong EBITDA and weak quarter-end cash is the expected outcome of this mechanism, not an anomaly — and cash, not EBITDA, is what determines whether the company reaches a negotiated outcome.

Risk 5 — Petrobras's interests are not minority shareholders' interests. Petrobras is Braskem's principal naphtha and ethane supplier, holds 47% of voting capital, co-controls the company, provides its board chair, and has operational oversight under the new shareholders' agreement. Reporting indicates Petrobras is not expected to inject direct capital or pledge assets as collateral to resolve the situation. The state company therefore has the ability to influence Braskem's largest cost line and its strategic direction while bearing none of the rescue cost, and its objective function includes Brazilian industrial policy — preserving domestic petrochemical capacity and employment — which can be satisfied by outcomes that wipe out the public equity. The Transforma Rio ethane contract, the single most value-accretive project in the pipeline, sits inside this same related-party relationship.

Risk 6 — customer defection during the process is the mechanism by which a financial problem becomes an industrial one. Braskem attributes the 6% sequential fall in Brazilian PE volumes and the 8% year-on-year fall in total Brazilian resin sales to higher import volumes and converter inventory management. Converters are small businesses that cannot tolerate supply interruption; a court filing is exactly the trigger that causes them to dual-source. The company has been careful to state repeatedly that the mediation and court measures are strictly financial and do not affect suppliers or customers, which is both true and insufficient — procurement managers respond to headlines. Watch domestic resin volumes in the 3Q26 production and sales report as the cleanest available measure of whether the franchise is eroding.

Risk 7 — the Alagoas tail is smaller than it was but is not closed. R\$18.1bn has been provisioned cumulatively and roughly R\$14.4bn disbursed, leaving a balance near R\$3.4bn. Relocation and compensation are approximately 99.9% complete. What remains is physical: eleven pressurised salt cavities still in the planning phase for closure, plus open legal and administrative proceedings. Braskem's own filings decline to rule out further developments or additional expense. In a company with negative book equity and a contested restructuring, an incremental provision is not absorbed by a cushion; it is taken directly out of the negotiating position.

8 VALUATION CONTEXT

Company	Mkt cap	Revenue	P/E	EV/EBITDA	Rev growth	End-market exposure
Braskem (BAK)	US\$0.84-0.93bn	US\$12.79bn LTM	n/m (loss)	n/m (EV/sales 1.0x)	3Y forecast approx. +5.2%	Brazil resins approx. two-thirds; US/Europe PP; Mexico PE. Packaging, construction, agriculture, autos
LyondellBasell (LYB)	approx. US\$19-21bn	US\$29.7bn LTM	approx. 9.3x (FactSet basis)	approx. 7.2x	approx. +1.8% p.a. forecast	Global polyolefins and propylene oxide; US Gulf Coast ethane-advantaged; divesting four European sites
Dow (DOW)	approx. US\$23bn (Feb 2026 reference)	US\$40.0bn FY25	n/m (FY25 net loss US\$2.62bn)	n/d	approx. +3.8% p.a. forecast	Packaging and specialty plastics, industrial intermediates, performance materials; idling European capacity
Unipar Carbocloro (UNIP3/6)	approx. US\$1.32-1.37bn	US\$0.93bn LTM	approx. 16x (EPS US\$0.73)	n/d	Modestly negative vs. 2024	South American chlor-alkali and PVC chain; construction, sanitation, pulp and paper, mining

Conventional comparables do not price this security and the table above is included mainly to establish the scale of the dislocation. The salient facts are these: Braskem generates roughly fourteen times Unipar's revenue and carries a smaller market capitalisation; its enterprise value of approximately US\$12.8bn is roughly fifteen times its equity value, so the equity is approximately 7% of the capital structure; and its LTM EV/sales of 1.0x is identical to LyondellBasell's, which tells you the market is capitalising the assets at a normal industry multiple and assigning almost all of that value to creditors. The correct framing is therefore

not a multiple but an implied-recovery question: at approximately US\$0.9bn of market capitalisation against approximately US\$12.0bn of consolidated gross debt, the equity price is consistent with the market assigning a modest probability to a restructuring in which principal is preserved and no equitisation occurs, and a high probability to one in which it is not. On the company's own status-quo projections — free cash negative by approximately US\$821m in December 2026 — doing nothing is not an available outcome.

Bull case. The extrajudicial recovery is filed and homologated broadly on the company's terms: five-year maturity extension, PIK interest through December 2028, a 200 basis point coupon reduction, a committed US\$1.5bn letter-of-credit facility, no principal haircut and no equitisation. Simultaneously, Middle East supply disruption persists into 2027 as LyondellBasell's management has guided, holding Brazil PE spreads near 2Q26 levels; on 1Q26's US\$192m of recurring EBITDA at a 69% Brazilian utilisation rate, a sustained doubling of resin spread plausibly supports a quarterly EBITDA run-rate several times that figure, which would take corporate leverage from 16.8x toward a single-digit multiple within four to six quarters purely on the denominator. Braskem Idesa is deconsolidated through Chapter 11, removing a cash-consuming asset and roughly US\$2.6bn of subsidiary debt from the consolidated picture while the parent's exposure is limited to the TQPM Equity Support Agreement. REIQ is renewed beyond December 2026. In that combination the equity is a small residual claim on a deleveraging enterprise value of roughly US\$13bn and the convexity is obvious — which is precisely why the option trades where it does rather than at zero.

Bear case. The court stay expires in mid-August without the roughly one-third creditor support required to file an extrajudicial recovery, and the process converts into a judicial reorganisation. In that forum the bondholder ad hoc group — with Elliott and Strategic Value Partners driving — revives the debtor-in-possession structure that converts to equity and dilutes existing shareholders below 10%, or secures a plan pledging all company assets ahead of the equity. Middle East flows resume during 2027, returning approximately 6 million tonnes of low-cost PE to an already oversupplied market and resetting Brazilian import parity, at which point the projections underpinning any five-year grace period are invalidated and the plan is reopened. Meanwhile naphtha working capital continues to convert every spread improvement into deferred cash, domestic converters that dual-sourced during the process do not return, REIQ lapses at the end of 2026 removing a benefit worth approximately US\$32m per quarter in COGS relief, and an incremental Alagoas provision lands on a balance sheet with negative book equity of approximately US\$3.1bn. The de-rating trigger to watch is not an earnings miss; it is a court docket entry.

9

WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

Across a coverage universe you cannot monitor everything, so for each name you identify the single number that will actually move the stock at the next reporting event, and how many days away that event is. For most companies that number is an earnings line. For Braskem it is not: the market will look past EBITDA straight to the cash balance and the court calendar, because those determine who owns the company.

Entity	Next event	Days away	The one metric	Why it matters
Braskem S.A. (BAK / BRKM5)	2Q26 results, 13 Aug 2026	3 days	Quarter-end corporate cash ex-Braskem Idesa versus the US\$800m-1.2bn minimum liquidity threshold flagged by BTG Pactual — not recurring EBITDA	1Q26 cash was US\$1.16bn and included the fully drawn US\$1bn revolver, so the underlying position was already near the floor. A print showing cash below approximately US\$900m would confirm that the company cannot outlast the creditor group and materially raises the probability of the judicial-reorganisation path; a print above approximately US\$1.1bn, achieved because 2Q26 spreads more than offset naphtha working capital, buys the controllers negotiating time and supports the no-haircut proposal
Braskem S.A. — court process	Expiry of 60-day stay, approx. 25 Aug 2026	approx. 15 days	Whether creditors representing at least one-third of the restructured debt have signed up to file an extrajudicial recovery	This is the binary. Support secured means the company's own 'Projeto Catalyst' terms — extension, PIK, no haircut, no equitisation — remain the negotiating baseline and the equity retains option value. Support not secured, and either the stay is extended into a further standoff or the process converts to judicial reorganisation, where creditor-drafted structures that dilute existing holders below 10% become live
Braskem Idesa	Chapter 11 filing / DIP approval, 2H26	Unannounced (est. 3Q26)	Size and priority of the approximately US\$250m debtor-in-possession facility, and whether the plan preserves any Braskem equity in the subsidiary	Determines whether Mexico becomes a clean deconsolidation that removes roughly US\$2.6bn of notes and a cash-burning asset from the group, or a second front that draws on the parent through the TQPM Equity Support Agreement covering 50% of the terminal financing

Prioritisation: the 13 August print is three days away and is the cheaper of the two data points to act on, but it is the 25 August stay expiry that carries the information. Treat the earnings release as an input to the second event rather than an event in its own right — specifically, read the cash line and the working-capital bridge, then ask whether that cash position is strong enough for the controlling shareholders to keep refusing the bondholders' equitisation structure through September. Everything else in the release, including what will almost certainly be a large sequential EBITDA improvement on the 101% PE spread expansion, is second-order to that question. If you are monitoring only one thing between now and the end of August, monitor filings from the 2nd Bankruptcy and Judicial Reorganisation Court of Sao Paulo, not the investor relations page.

A VERIFICATION LOG

Item	Status	Note
Ticker / exchange (BAK NYSE; BRKM3/5/6 B3; XBRK Latibex)	CLEAN	Confirmed across company filings and multiple data providers
Market capitalisation	FLAGGED	Sources diverge: StockAnalysis US\$837.79m (6 Aug 2026); StockTitan US\$928.47m. Presented as a range. ADR close US\$2.26 on 5 Aug 2026
Share count 797.2m (451.7m ON / 345.1m PNA / 0.5m PNB)	CLEAN	Total reconciles to provider figure of 796.97m shares outstanding
ADS ratio	FLAGGED	Not independently confirmed in this pass. Report avoids relying on a per-ADS conversion; all per-share figures are stated on the total share count basis
Revenue LTM US\$12.79bn; FY24 approx. US\$14.0bn (R\$77.4bn)	CLEAN	Provider LTM figure cross-checked against company BRL revenue disclosures
FY25 revenue approx. US\$12.9bn	EST.	Derived. Company reports in BRL; USD conversion approximate and FX-sensitive

Item	Status	Note
FY24 recurring EBITDA approx. US\$1,093m; 1Q25 approx. US\$224m	EST.	Both implied arithmetically from disclosed percentage declines (FY25 -49%; 2Q25 -67% QoQ), not directly disclosed in USD
FY25 recurring EBITDA US\$557m; 4Q25 US\$109m; 3Q25 US\$150m; 2Q25 US\$74m; 1Q26 US\$192m	CLEAN	All from company releases and earnings-call transcripts
1Q26 net revenue	FLAGGED	Sources conflict: company summary US\$2.95bn versus transcript coverage US\$3.15bn. Range shown
Corporate gross debt US\$9.4bn; consolidated US\$12.05bn; adj. net debt US\$8.48bn; leverage 16.81x	CLEAN	1Q26 results release and 6-K
Alagoas: R\$18.1bn cumulative provisions, approx. R\$3.4bn remaining at Mar-26	CLEAN	Company 1Q26 disclosure, including the R\$14.4bn disbursed / R\$1.2bn reclassified / R\$874m AVP breakdown
Ratings Fitch C, S&P D (June 2026)	CLEAN	Corroborated by two independent Brazilian sources; consistent with the pre-filing CC / CCC- levels reported at 1Q26
2Q26 spread moves (PE +101%, PP Asia +56%, PVC +44%, main chemicals +98%, PP US +35%, PP Europe -19%)	CLEAN	Primary source: Braskem 2Q26 Production & Sales Report, 6-K filed 30 July 2026
Approx. 6m tonnes of Middle East PE capacity removed	EST.	Attributed to LyondellBasell management commentary on its 2Q26 call. Directional industry estimate, not an audited figure
Status-quo cash deficit US\$821m (Dec-26) / US\$1.98bn (end-27); US\$3.68bn commitments Jul-26 to Dec-27	FLAGGED	Sourced to creditor 'cleansing' materials reported in Brazilian press. Company-prepared projections disclosed under a confidentiality agreement, not audited guidance
Bondholder ad hoc group composition (Capital Group, AllianceBernstein, Elliott, Strategic Value Partners)	FLAGGED	Press-sourced. Treat as interested-party reporting; committee membership can change
Creditor proposal terms (DIP-to-equity diluting controllers below 10%; asset-secured extension)	CLEAN	Described in Braskem's own 6-K of 21 July 2026 responding to press reports
Braskem Idesa: US\$900m 7.45% 2029s, US\$1.2bn 6.99% 2032s, missed coupons 18 Nov 2025 and 20 Feb 2026	CLEAN	Company 6-K disclosure of 18 May 2026
Braskem Idesa DIP approx. US\$250m; 55 cents buyout option; up to US\$700m new liquidity	FLAGGED	Press- and cleansing-material-sourced; terms were rejected and are superseded
Brazilian PE capacity 3.2m t/yr; PVC 710kt/yr; Mexico 1.05m t/yr ethylene and 1.0m t/yr PE	CLEAN	Mexico figures from the FY2025 Form 20-F; Brazil figures from trade press citing company disclosure
Green PE capacity 200-260kt/yr	FLAGGED	Sources cite both 200kt and 260kt (the latter post-2023 expansion). Range shown
Ownership: Shine I 50.1% voting / approx. 34.3% total; Petrobras 47% voting / approx. 36.1% total; Novonor approx. 4%	CLEAN	Multiple independent sources plus CADE clearance reporting
Insider ownership approx. 0.13%; institutional approx. 7.5%	FLAGGED	Provider-reported and almost certainly excludes the controlling block held through FIP Shine and Petrobras. Use as a float statistic, not as an alignment measure
Float	FLAGGED	StockAnalysis 202.25m versus StockTitan 398.48m. Definitional difference across preferred classes; not reconciled
Peer market caps (LYB, DOW, UNIP)	FLAGGED	Reference dates differ (LYB Aug-26, DOW Feb-26 via MacroTrends, UNIP Aug-26). Presented as approximations; Dow's figure in particular is stale and should be refreshed before use
Comp-table P/E and EV/EBITDA	EST.	Third-party computed on differing adjusted-earnings conventions; not restated to a common basis
Pemex ethane supply 11.8 kbbl/d (2Q26) vs. 30 kbbl/d contractual minimum	CLEAN	2Q26 Production & Sales Report and FY2025 Form 20-F
Bond stack: 8 international instruments, approx. US\$7bn, 2028-2050 plus 2081-callable hybrid	FLAGGED	Sourced to Debtwire/ION Analytics reporting rather than a company schedule. Directionally reliable; instrument-level detail unverified

Item	Status	Note
Next earnings date 13 Aug 2026	CLEAN	Confirmed date per provider; consistent with prior-quarter cadence

B ACRONYM GLOSSARY

Acronym	Full name
ADR / ADS	American Depositary Receipt / American Depositary Share
AHG	Ad Hoc Group (of bondholders)
ARA	Amsterdam-Rotterdam-Antwerp (the European naphtha pricing hub)
AVP	Ajuste a Valor Presente — present value adjustment
CADE	Conselho Administrativo de Defesa Economica — Brazil's antitrust authority
CRA	Certificado de Recebíveis do Agronegócio — Brazilian agribusiness receivables certificate
CTO	Coal-to-Olefins
CVM	Comissão de Valores Mobiliários — Brazil's securities regulator
DIP	Debtor-in-Possession (financing)
EBITDA	Earnings Before Interest, Taxes, Depreciation and Amortisation
ECA	Export Credit Agency
EDC	Ethylene Dichloride (1,2-dichloroethane), the PVC intermediate
ESA	Ethane Supply Agreement (Braskem Idesa with Pemex)
FIP	Fundo de Investimento em Participações — Brazilian private equity fund vehicle
HDPE / LDPE / LLDPE	High-Density / Low-Density / Linear Low-Density Polyethylene
MTO	Methanol-to-Olefins
NGL	Natural Gas Liquids
ON / PNA / PNB	Ordinaria (common) / Preferencial Classe A / Preferencial Classe B share classes
PE / PP / PVC	Polyethylene / Polypropylene / Polyvinyl Chloride
PIK	Payment-In-Kind (interest capitalised rather than paid in cash)
PIS / COFINS	Brazilian federal social contribution taxes levied on gross revenue
RCF	Revolving Credit Facility
RE / RJ	Recuperação Extrajudicial (out-of-court recovery) / Recuperação Judicial (judicial reorganisation)
REIQ	Regime Especial da Indústria Química — Brazil's special chemical-industry tax regime
TQPM	Terminal Química Puerto Mexico — the Braskem Idesa ethane import terminal
VCM	Vinyl Chloride Monomer

C DISCLAIMER

This document is for internal research purposes only and does not constitute investment advice, an offer, or a solicitation. It contains no price target and no buy or sell recommendation. Braskem S.A. is the subject of an active court-supervised process in Brazil and a related Chapter 15 proceeding in the United States, and its Mexican subsidiary is in default and negotiating a Chapter 11 filing; facts stated here may be superseded materially within days of the report date of 10 August 2026. Figures marked EST. or FLAGGED in the Verification Log are derived, single-sourced, or contested and should be independently confirmed before use. All data should be independently verified.